INSURANCE AND PENSIONS COMMISSION

FOURTH QUARTER REPORT

FOR

FUNERAL ASSURERS

FOR THE YEAR ENDED 31 DECEMBER 2013

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2.0 List of Acronyms and Abbreviations

GPW	Gross Premium Written
NPI	Net Premium Income
GPI	Gross Premium Income
IPEC/ Commission	Insurance and Pension Commission
Y-Growth	Yearly growth
Q-Growth	Quarterly
NOTE:	**ALL MONETARY FIGURES ARE IN USD**

3.0 Industry Overview

This report is based on 9 players. As advised previously, Nyaradzo and Fidelity Funeral are now trading in life assurance business. The industry realized $31million in net premium terms, a 40% annual growth rate outgrowing cost outlays by 19% ,a sign of prudent cost management . Consequently, the funeral sector realized $9million in technical profit (December 2012: $4million).For the year under review, total industry assets base by 17% to $39million at year end (December 2012: $33million).

The life industry was largely adequately capitalized statutorily .The industry's capital(free assets) was 1.5 times bigger that the total liabilities implying a healthy position which is in line with emerging best practices. (See Table 1, below).

Table 1: Summary of Financial Performance by Funeral Assurance Industry -31 December 2013

Financial Aspect	Dec 2012	Dec 2013	Growth
Gross Premiums Written($000)	**22,336**	**31,182**	40%
Net Premiums Written ($000)	**22,336**	**31,176**	40%
Retention Ratio	**100%**	**100%**	-
Total Gross Claims ($000)	**4,446**	**6,350**	43%
Total Net Claims ($000)	**4,446**	**6,350**	43%
Management Expenses ($000)	**11,515**	**12,792**	11%
Commissions ($000)	**2,027**	**2,633**	30%
Total Costs($000)	**17,988**	21,775	21%
Technical Profit	**4,348**	**9,401**	116%
Claims Ratio	**20%**	**20%**	-
Expense Ratio (%)	61%	50%	(13%)
Combined Ratio	**81%**	**70%**	(11%)
Total Assets ($000)	**33,460**	**39,290**	17%
Total Liabilities ($000)	**13,298**	**15,659**	18%
Free Capital($000)	**20,163**	**23,631**	17%
Capital to liability Ratio	**118%**	**0%**	(28%)
Current Assets	**7,777**	**11,771**	51%
Current Liabilities	**5,750**	**7,662**	33%
Current Ratio	**135%**	**154%**	19
Prescribed Assets ($000)	**48**	**40**	(17%)

4.0 Update on Number of Operational Institutions

This report is based on 9 funeral assurers. In the year under review, and as reported before, Nyaradzo and Fidelity Funeral Assurance companies opted to trade and hence in the broader life assurance industry.

5.0 Business Written

For the year under review, funeral companies cumulatively wrote $31million for the period under review, a 40% growth from the Net Premium Written in the prior year (See Table 2).

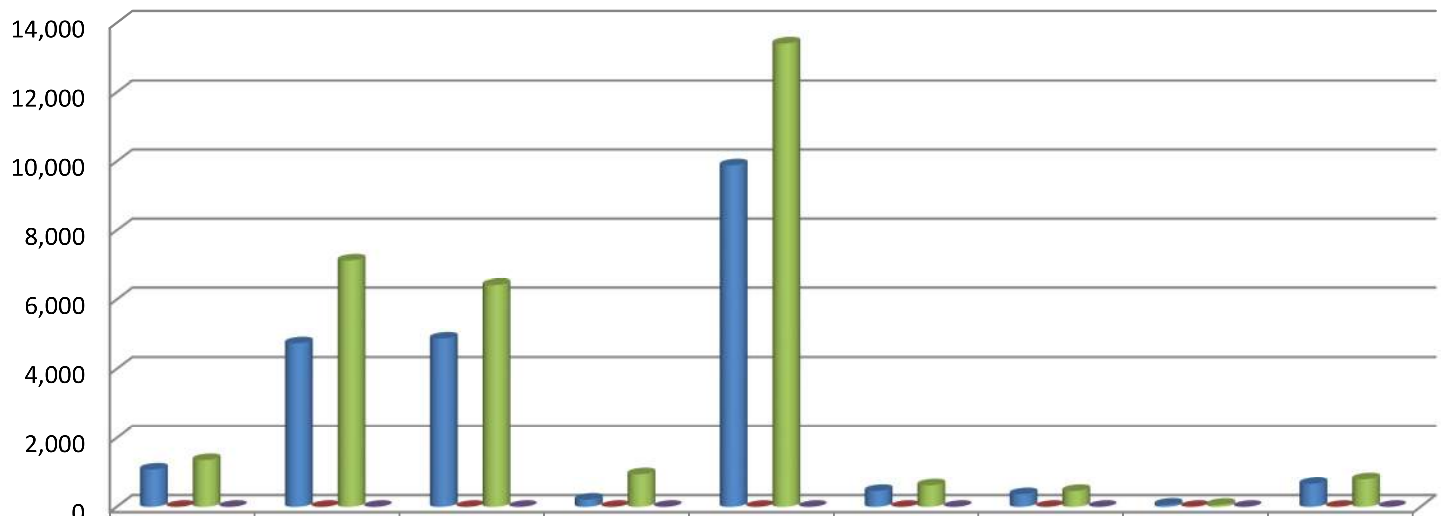
Table 2: Net Premium Distribution by Company for the year ended31December 2013($000)

Company	Dec -12	Dec-13	Annual Growth
Cell	1,083	1,356	25%
Doves	4,738	7,126	50%
First Funeral	4,875	6,411	32%
Foundation	208	946	355%
Moonlight	9,884	13,401	36%
Passion	457	621	36%
Ruvimbo	364	458	26%
Sunset	63	58	(8%)
Vineyard	664	799	20%
Total	**22,336**	**31,176**	40%

6.0 Market Share

For the year under review, 87% or $27million of the total net business was written by the top three companies (December 2012:87% or $19million). IPEC continues to urge industry to compete on new product innovation and development as well as service delivery .As reported elsewhere in the report, the industry's combined ratio was 68% implying a greater scope for not only profit but also investment in new policies and sweeteners for the benefit of policyholders(See Table 2 above and Figure 1 below).

Figure 1: Market Share by Net Premium Written for the year ended 31December 2013($000)



	Cell	Doves	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard
2012 NPW(000)	1,083	4,738	4,875	208	9,884	457	364	63	664
Market Share(%)	5%	21%	22%	1%	44%	2%	2%	0%	3%
2013 NPW(000)	1,356	7,126	6,411	946	13,401	621	458	58	799
Market Share(%)	4%	23%	21%	3%	43%	2%	1%	0%	3%

6.0 Business Composition

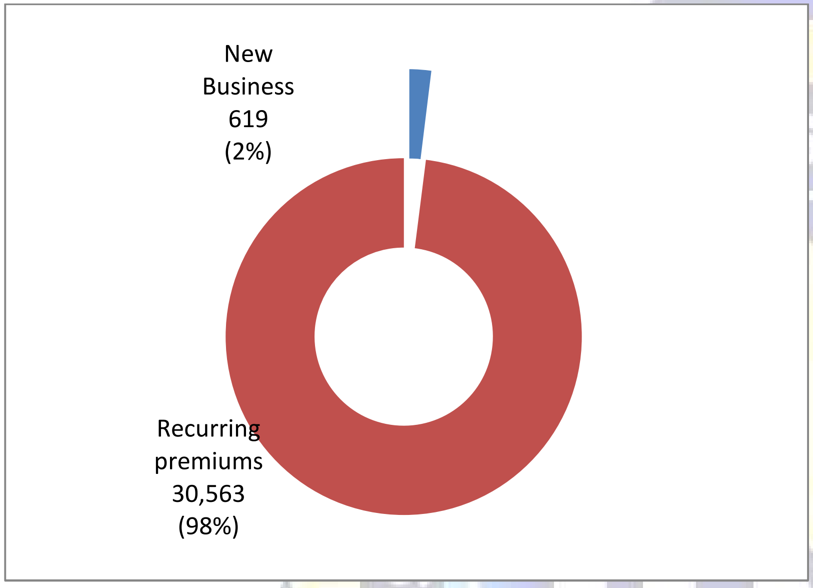
For the year ended 31December 2013, recurring premiums contributed 98% or $31million of total gross premiums whilst the balance of $0.6million was made up of new business(December 2012:83% or $18million and $4million or 17%).As highlighted earlier,the Commission believes there is enough latitude to allow more product value addition within the prevailing cost structures by the industry.This is particularly important in view of emerging real competition from life assurers who invariably offer superior sums assured and the option to choose between service provision or cash as regards claims settlement.

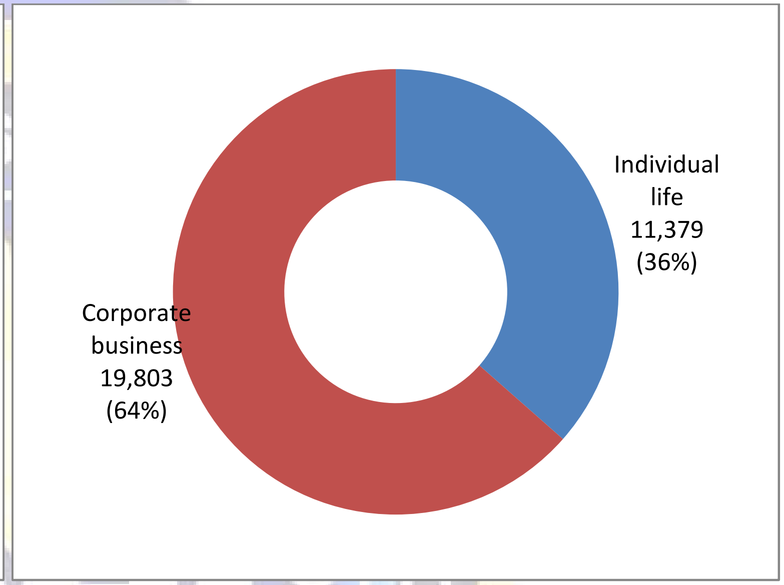
Corporate business was 64% or $20million of total gross premiums whilst individual clients constituted 36% or $11million(December 2012:63% or $14million and 37% or $8million).The figures suggest conscious efforts by industry to manage concentration risk(See Table 3 and Figure 2,below).

Table 3: Business Composition by Company for the year ended 31December 2013

Co. Name	Individual Life (000)						Corporate(000)						Total Gross Premiums (000)		
	New Business			Recurring Premiums			New Business			Recurring Premiums					
	Dec 2012	Dec 2013	Growth (%)	Dec 2012	Dec 2013	Growth (%)	Dec 2012	Dec 2013	Growth (%)	Dec 2012	Dec 2013	Growth (%)	Dec 2012	Dec 2013	Growth (%)
Cell	4	30	650%	3	49	1533%	0	0	-	1,076	1,277	19%	1,083	1,356	25%
Doves	966	8	-99%	0	1,435	-	0	130	-	3,771	5,553	47%	4,738	7,126	50%
First Funeral	2,638	62	-98%	2,237	6,349	184%	0	0	-	0	0	-	4,875	6,411	32%
Foundation	-	22	-	208	924	344%	0	0	-	-	0	-	208	946	355%
Moonlight	-	0	-	1,030	1,031	0%	177	141	(20%)	8,677	12,229	41%	9,884	13,401	36%
Passion	2	14	600%	34	134	294%	10	11	10%	412	462	12%	457	621	36%
Ruvimbo	-	0	-	364	458	26%	0	0	-	-	0	-	364	458	26%
Sunset	-	0	-	63	64	2%	0	0	-	-	0	-	63	64	2%
Vineyard	12	201	1575%	652	598	-8%	0	0	-	-	0	-	664	799	20%
TOTAL	**3,622**	**337**	-91%	**4,591**	**11,042**	141%	**187**	**282**	**51%**	**13,936**	**19,521**	40%	**22,336**	**31,182**	40%

Figure 2: Gross Premium Composition for the year ended 31 December 2013($000)





7.0 Not-taken Up policies and Lapsed Policies

For the year ended 31 December 2013, funeral assurers reported not-taken up policies amounting to $57 000,a figure which is a negligible fraction of reported gross premiums of $31,182million.Players also reported generally low lapse ratios. High ratios indicate possible cases of undesirable practices like mis-selling or switching (See Table 4,below).

Table 4: Not-taken Up policies and Lapsed Policies

	Not Taken Up Policies	Lapse Ratios	
	Total Premiums(000)	Individual (%)	Group Bus (%)
Cell	3	0	0
Doves	0	0	0
First Funeral	27	1	0
Foundation	2	2	0
Moonlight	15	0	31
Passion	0	0	0
Ruvimbo	0	18	14
Sunset	0	1	0
Vineyard	0	17	5
Total	**57**	**N/A**	**N/A**

8.0 Claims Aged Analysis

Funeral companies reported outstanding claims amounting to $68,000,84% which were current, reflecting prompt claim settlement which is quite critical given the urgent nature of funeral business (See Table 5 below).

Table 5: Claims Aged Analysis

Name of Company	Cell	Doves	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
>30days (000)	34	0	8	0	2	2	0	9	0	55
31-60days(000)	0	0	4	0	0	0	0	2	0	**6**
61-90days (000)	0	0	6	0	0	0	0	1	0	**7**
91-120days (000)	0	0	0	0	0	0	0	0	0	-
<121 days (000)	0	0	0	0	0	0	0	0	0	-
Reinsurance (000)	0	0	0	0	0	0	0	0	0	-
Total	34	0	18	0	2	2	0	12	0	68

9.0 Debtor Aged Analysis

For the year under review, players reported outstanding debtors of $1,6 million or 5% of gross written premiums reflecting a 95% collection rate. High premium collection rates reduce liquidity risk on the part of players(See Table 6,below).

Table 6 : Debtors Aged Analysis

Name of Company	Cell	Doves	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
>30days (000)	4	26	0	2	127	207	1	0	70	437
31-60days(000)	3	6	0	1	85	227	1	0	46	**369**
61-90days (000)	4	0	155	1	41	108	1	0	24	**334**
91-120days (000)	3	0	0	1	26	57	0	0	10	**97**
<121 days (000)	4	0	0	7	54	265	0	0	35	**365**
Total (000)	**18**	**32**	**155**	**12**	**333**	**864**	**3**	**0**	**185**	**1,602**

10.0 Earnings

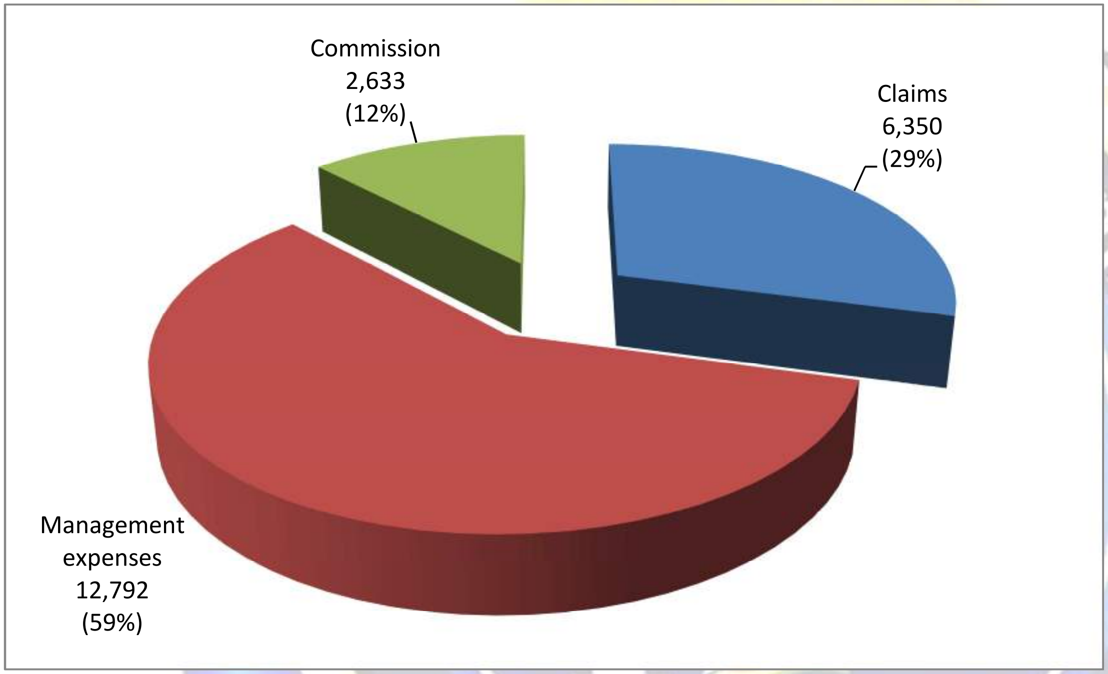
For the year ended 31 December 2013, the earning indicators in respect of the funeral assurance industry were reported as shown in Table 7 and Figure 3,below.

For the period under review, the funeral assurance players reported the cost center distribution as management expenses -59%or $13million{December 2012:64% or $12million}, claims-29% or $6million {December 2012:25% or $4million} and commission-12% or $3million{December 2012:12% or $2million}. The industry's combined ratio was 70% from 81% reported in the previous period.(See Figure 4 below).

Table 7: Key Earnings Indicators By Company for the year ended 31December 2013($000)

Co. Name	NPW(000)	Claims (000)			Commissions(000)			Management Expenses(000)			Total Costs(000)			Combined Ratio	
	Dec 13	Dec 12	Dec 13	Growth	Dec12	Dec 13	Growth	Dec 12	Dec-13	Growth	Dec-12	Dec-13	Growth	Dec-12	Dec-13
Cell	1,356	35	34	-3%	5	14	180%	939	924	-2%	979	972	-1%	90%	72%
Doves	7,126	1,597	2,192	37%	319	424	33%	1,590	1,242	-22%	3,506	3,858	10%	74%	54%
F.Funeral	6,411	1,402	1,893	35%	508	1,053	107%	1,737	1,870	8%	3,647	4,816	32%	75%	75%
Foundation	946	22	127	477%	18	87	383%	158	669	323%	198	883	346%	95%	93%
Moonlight	13,401	1,141	1,696	49%	1,073	967	-10%	6,274	7,230	15%	8,488	9,893	17%	86%	74%
Passion	621	57	76	33%	3	20	567%	160	110	-31%	220	206	-6%	48%	33%
Ruvimbo	458	58	125	116%	17	9	-47%	280	306	9%	355	440	24%	98%	96%
Sunset	58	2	1	-50%	3	4	33%	35	42	20%	40	47	18%	63%	**81%**
Vineyard	799	132	206	56%	81	55	-32%	342	399	17%	555	660	19%	84%	**83%**
Total	**31,176**	**4,446**	**6,350**	43%	**2,027**	**2,633**	30%	**11,515**	**12,792**	11%	17,988	21,775	21%	81%	**70%**

Figure3: Cost Distribution By Company for the year ended 31 December 2013($000)



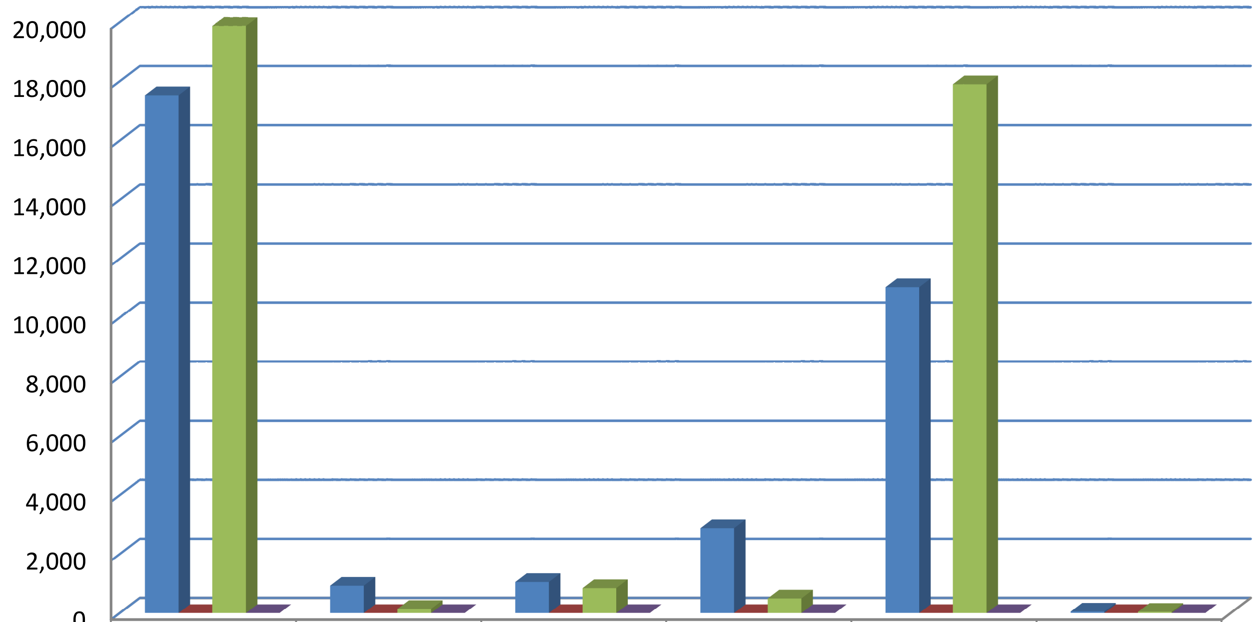
11. Asset Quality

As at 31 December 2013 ,funeral companies held their investment assets in properties,51% or $20million (December 2012:52% or $18million }, equities,$0.1million or 0% (December 2012:3% or $0.9million), money market ,$0.8million or 2%(December 2012:3% or $1million), cash assets,$0.5million or 1% (December 2012:9% or $3million) , other assets ,$18million or 46%(December 2012:33% or $11million) and $0.04million on prescribed assets. The Commission continues to monitor the industry's compliance to government paper and general investment guidelines in line with Circular 1 of 2013

Table 8: Funeral industry Asset bases as at 31 December 2013($000)

Co.	Fixed Property (000)			Equities (000)			Money Market (000)			Cash (000)			Other Investments (000)			Prescribed Assets (000)			Total Assets (000)		
	Dec 12	Dec 13	%	Dec 12	Dec 13	%	Dec 12	Dec 13	%	Dec12	Dec 13	%	Dec 12	Dec13	%	Dec12	Dec 13	%	Dec12	Dec 13	Growth
Cell	521	226	(57%)	14	16	14%	723	674	(7%)	35	155	343%	211	268	27%	0	0	0%	1,504	1,339	(11%)
Doves	1,916	2,807	47%	60	110	83%	154	103	(33%)	71	112	58%	8,903	10,475	18%	28	10	(64%)	11,133	13,617	22%
F/Funeral	933	1,190	28%	0	11	-	43	0	(100%)	2,037	25	-99%	156	3,543	2171%	0	10	-	3,169	4,779	51%
Foundation	1,170	1,395	19%	0	0	-	104	61	(41%)	28	39	39%	308	498	62%	10	10	-	1,620	2,003	24%
Moonlight	10,412	10,926	5%	850	0	(100%)	0	0	-	348	39	-89%	0	917	-	0	9	-	11,610	11,891	2%
Passion	300	300	0%	0	0	-	0	0	-	10	74	640%	579	781	35%	0	0	-	889	1,155	30%
Ruvimbo	756	703	-7%	0	0	-	0	0	-	304	9	-97%	601	940	56%	0	0	-	1,661	1,652	-1%
Sunset	1,044	1,703	63%	0	0	-	0	0	-	3	0	-100%	0	107	-	0	0	-	1,047	1,810	73%
Vineyard	474	621	31%	3	2	(33%)	28	7	(75%)	37	44	19%	276	369	34%	10	1	-90%	828	1,043	26%
Total	**17,526**	**19,871**	13%	**927**	**139**	(85%)	**1,052**	**845**	(20%)	**2,873**	**497**	-83%	**11,034**	**17,898**	62%	**48**	**40**	**(10%)**	**33,460**	**39,290**	17%

Figure 4: Funeral industry Asset bases as at 31 December 2013 ($000)



	Property	Equities	Money Market	Cash	Other Assets	Prescribed
2012($000)	17,526	927	1,052	2,873	11,034	48
Share(%)	52%	3%	3%	9%	33%	0%
2013($000)	19,871	139	845	497	17,898	40
Share(%)	51%	0%	2%	1%	46%	0%

11.1 Prescribed Assets

The funeral industry's uptake was 1%. Players are however required to participate fully as availability of government paper improves to avoid statutory penalties (See Table 8 and 9).

Table 9: List Of Approved Prescribed Asset Paper

Issuer	Bond Name	Bond Description	Tenure	Coupon rate	Issue date
Old Mutual	DIMAF:$27 million	Funding distressed and marginalized industries	5years	10%	2 January 2013
CBZ	AMA Bills	Funding 2013/4 Soya bean farming	272 days	10.5%	4 October 2013
NMB	SME:$50 million	Funding small to medium enterprises	2years	10%	3 October 2013
FBC /Agribank	Agrobills:$15million	Funding 2013/4 Soya bean farming	360days	10%	4 October 2013

12.Capitalization and Solvency

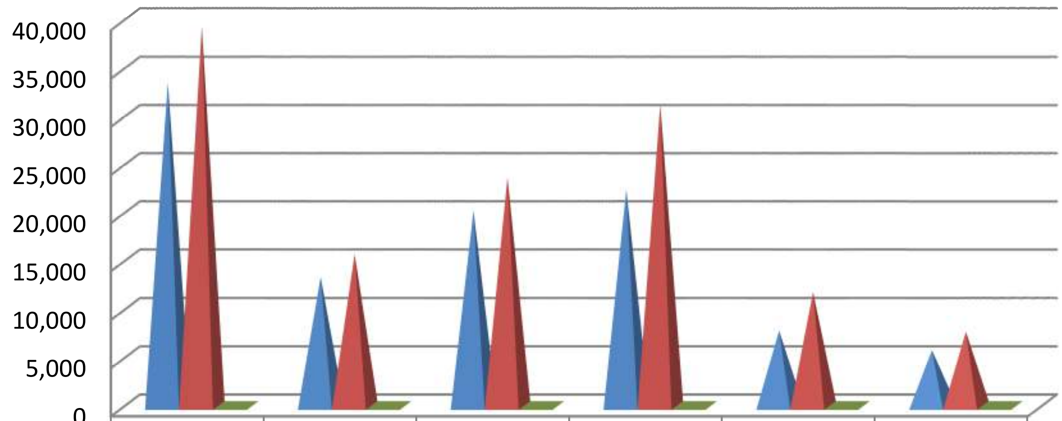
For the period under review the majority of funeral assurers were adequately capitalized in excess of $750 000 as prescribed by Statutory Instrument 21 of 2013.Engagements are on-going with the two undercapitalized players to restore compliancy.

Emerging international best practices particularly Solvency II prescribes capital levels which are directly proportional to liabilities. Reported figures reflected that funeral companies had combined capital to liability ratio of 154% which is generally considered to be safe (See Table 10 below).

Table 10: Levels of Capitalization and Solvency Estimates for the year ended 31 December 2013($000)

Co.	Total Assets (000)		Total Liabilities (000)			Capital(Net Assets) (000)			NPW (000)		Capital To Liability Ratio (%)			Capital To Net Premium Ratio (%)			Current Assets			Current Liabilities			Current Ratio		
	Dec 12	Dec 13	Dec 12	Dec 13	%	Dec 12	Dec 13	%	Dec 12	Dec 13	Dec 12	Dec 13	%	Dec 12	Dec 13	%	Dec 12	Dec 13	%	Dec 12	Dec 13	%	Dec 12	Dec 13	%
Cell	1,504	1,339	516	673	30%	988	666	-33%	1,083	1,356	191	99	(92)	91	49	(42)	968	924	(5%)	516	673	30%	188	137	(51)
Doves	11,133	13,617	1,057	1,255	19%	10,076	12,362	23%	4,738	7,126	953	985	32	213	173	(40)	3,022	4,438	47%	619	905	46%	488	490	2
First Funeral	3,169	4,779	599	578	-4%	2,570	4,201	63%	4,875	6,411	429	727	298	53	66	13	2,080	3,589	73%	405	213	(47%)	514	1685	1171
Foundation	1,620	2,003	1,029	1302	27%	591	701	19%	208	946	57	54	(3)	284	74	(210)	382	434	14%	319	336	5%	120	129	9
Moonlight	11,610	11,891	8,957	10,597	18%	2,653	1,294	-51%	9,884	13,401	30	12	(18)	27	10	(17)	348	957	175%	3,017	4644	54%	12%	21	9
Passion	889	1,155	268	296	10%	621	859	38%	457	621	232	290	(58)	136	138	2	349	674	93%	238	296	24%	147	228	19
Ruvimbo	1,661	1,652	530	504	-5%	1,131	1,148	2%	364	458	213	228	15	311	251	(60)	304	300	(1%)	357	343	(4%)	85%	87	(2)
Sunset	1,047	1,810	105	221	110%	942	1,589	69%	63	58	897	719	(178)	1495	2740	1245	3	74	2367%	60	111	85%	5%	67	(63)
Vineyard	828	1,043	237	233	-2%	591	811	37%	664	799	249	348	99	89	102	13	321	381	19%	219	141	(36%	147	270	123
Total	**33,461**	**39,290**	**13,298**	**15,659**	18%	**20,163**	**23,631**	17%	**22,336**	**31,176**	**71**	**151**	**80**	**43**	**76**	**33**	**7,777**	**11,771**	**51%**	**5,750**	**7,662**	**33%**	**135**	**154**	**19**

Figure 5: Levels of Capitalization and Solvency Estimates for the year ended 31 December 2013



	Total Assets	Total Liabilities	Capital(Net Assets)	NPW	Current Assets	Current Liabilities
2012($000)	33,461	13,298	20,163	22,336	7,777	5,750
2013($000)	39,290	15,659	23,631	31,176	11,771	7,662
Growth	17%	18%	17%	40%	51%	33%

7.0 Acts, Statutory Instruments and Circulars

For the quarter under review the Commission issued the following circulars and statutory instruments to guide the industry on various issues affecting the operations of the industry:-

Table 11: Issued Acts, Circulars and Statutory Instruments for the year ended 31 December 2013

Details	Subject Matter	Issue date
Money Laundering and Proceeds Of Crime Act Chapt9:24	A Money Laundering and Proceeds Of Crime Act	June 2013
Circular No.6 of 2013	Insurance and Housing Pension Fund	27 June 2013
Circular No.5 of 2013	Corporate reporting	20 June 2013
Circular No.1 of 2013	Investment guidelines	20 March 2013
Statutory Instrument 21 of 2013	Capital Requirements for Insurance companies	22 February 2013
Statutory Instrument 8 of 2013	Registration Of All Practicing Actuaries With Actuarial Society Of Zimbabwe (ASZ)	13 December 2013

Conclusion

The Commission urges players to embrace the suggestions contained in this report in order to effectively address the risks or potential risks that they face on a regular basis.